

Gap Equity and Operational Risk Model

Executive research brief | NYSE: GAP | Financial data through 2026-07-30 | Market-data mode: pinned

\$20.38	8.7x	73/100	\$22.80
Reference price	Forward P/E	Composite risk	Risk-weighted value

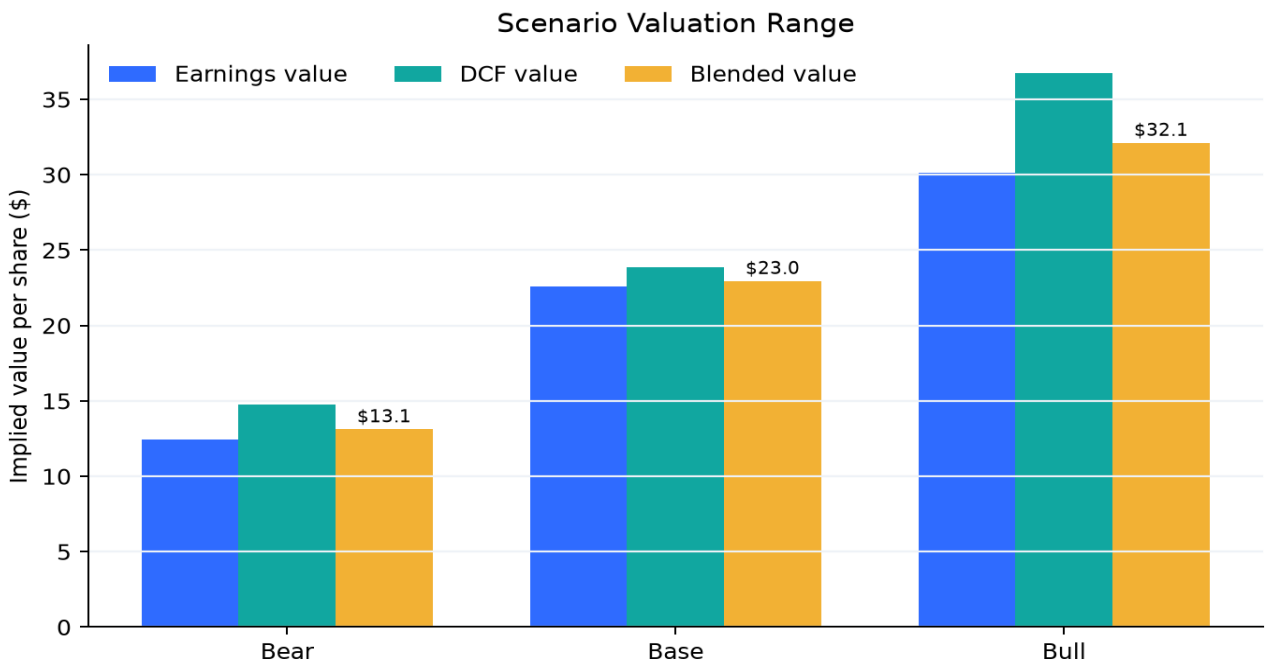
Investment conclusion

Gap is an inexpensive but operationally sensitive turnaround. The Gap brand has regained cultural and commercial momentum, liquidity is strong, and current valuation leaves room for upside if guided earnings persist. The discount is partly justified by tariff-sensitive margins, Old Navy concentration, Athleta's continued contraction, lease commitments, and high earnings-event volatility.

The model's risk-weighted blended value is \$22.80. The Monte Carlo median is \$21.64, with a 58% probability of exceeding the reference price. This is a decision-support estimate, not a recommendation.

What the market is pricing

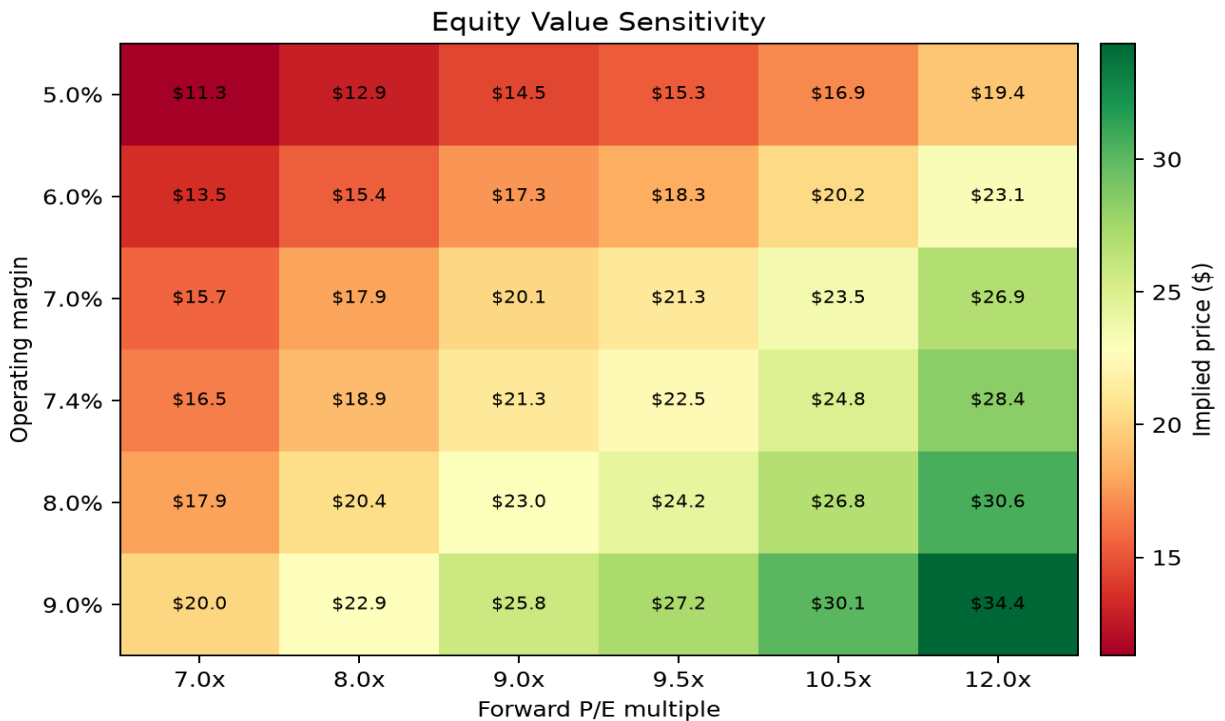
At roughly the high-single-digit forward earnings multiple, the stock price implies that recent brand momentum and cash generation may not be durable. The key analytical question is therefore not whether the shares look optically cheap, but whether a 7%+ operating margin can survive tariff, promotion, and consumer-demand pressure.



Scenario valuation

Scenario	Probability	EPS	P/E value	DCF value	Blended
Bear	25%	\$1.66	\$12.43	\$14.77	\$13.13
Base	50%	\$2.38	\$22.57	\$23.88	\$22.97
Bull	25%	\$2.74	\$30.15	\$36.75	\$32.13

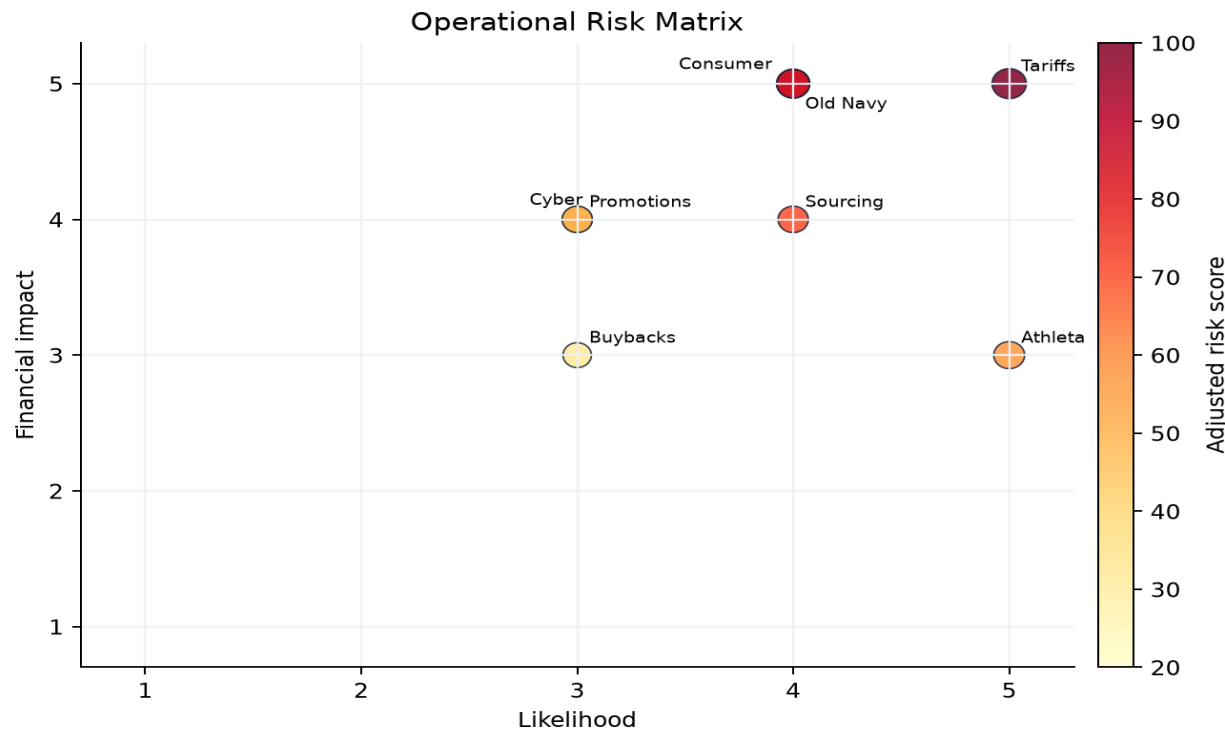
The earnings method receives a 70% weight and DCF receives 30%. This keeps the valuation anchored to observable retail-sector earnings while still recognizing Gap's free-cash-flow and balance-sheet value.



Margin materiality: A 100-basis-point operating-margin change corresponds to approximately \$156 million of pre-tax income, \$0.31 of EPS, and \$2.97 per share at a 9.5x multiple.

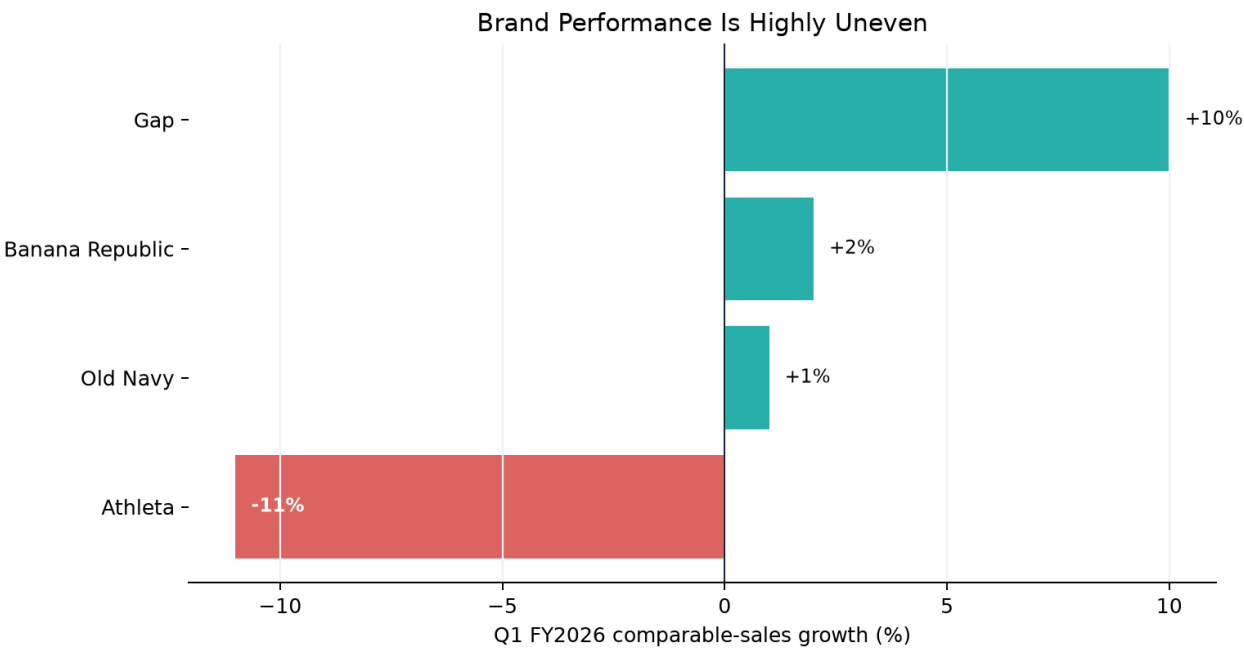
Operational risk intelligence

Risk	Category	Score	Weight	Direction
Tariff and trade-policy changes	External	100	18%	Deteriorating
Consumer discretionary slowdown	External	92	16%	Watch
Old Navy concentration and slowdown	Brand	84	15%	Deteriorating
Sourcing and logistics disruption	Supply chain	70	11%	Watch
Cybersecurity reputation and digital disruption	Technology	58	9%	Watch
Athleta turnaround failure	Brand	57	12%	Deteriorating
Promotional and inventory pressure	Execution	50	11%	Watch
Capital-return pace exceeds recurring cash flow	Financial	32	8%	Watch

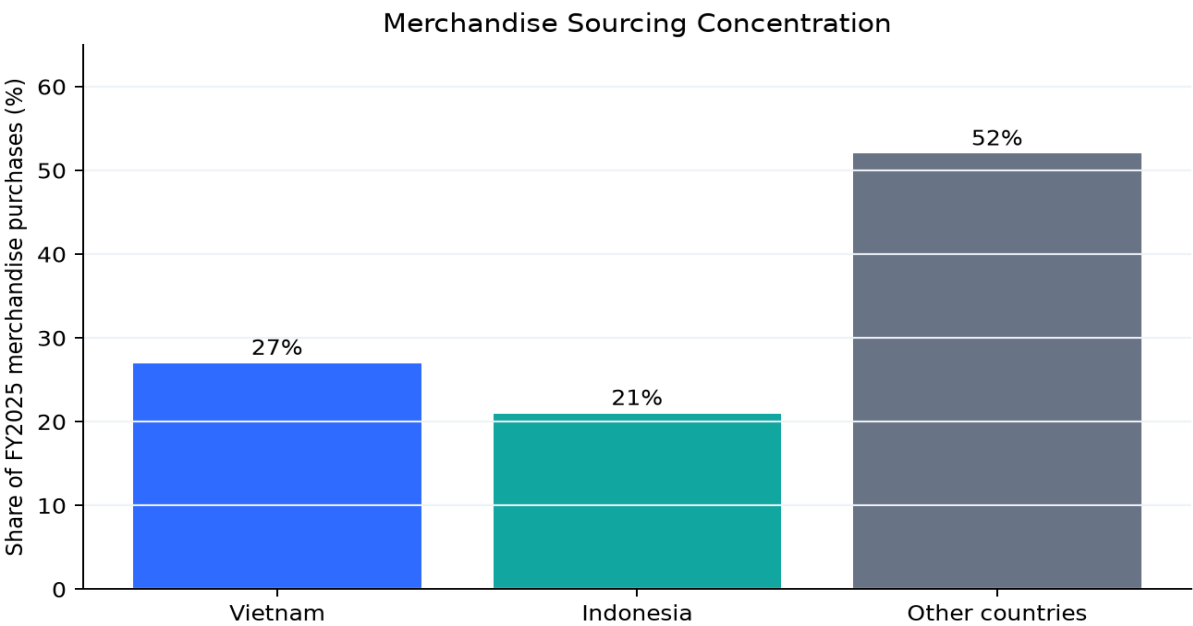


Brand and sourcing diagnostics

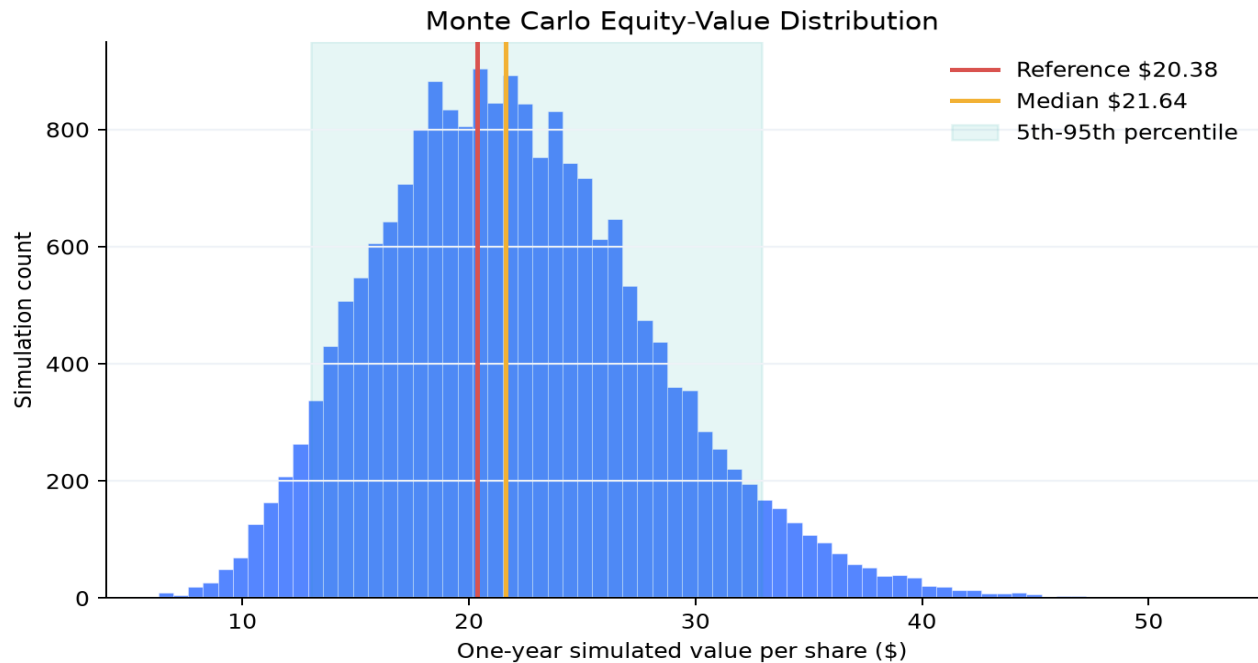
The strongest signal is the Gap brand's double-digit comparable-sales growth. The largest vulnerability is the combination of Old Navy's revenue weight and Athleta's prolonged contraction. Portfolio-level results can weaken even while the namesake brand continues to improve.



Sourcing concentration turns trade policy and geopolitical disruption into direct gross-margin variables. Vietnam and Indonesia represented 48% of fiscal 2025 merchandise purchases by value.



Monte Carlo price-risk distribution



Metric	Result	Interpretation
5th percentile	\$13.02	Severe downside tail
Median	\$21.64	Central simulated outcome
95th percentile	\$32.94	Strong execution outcome
P(value below \$15)	11.5%	Material drawdown risk
P(value above \$27)	20.0%	Turnaround upside

Quarterly monitoring framework

- Old Navy and Gap comparable-sales spread
- Athleta comparable-sales and revenue direction
- Merchandise margin excluding tariff effects
- Inventory growth relative to net-sales growth
- Promotional intensity and average unit retail
- Tariff rates affecting Vietnam and Indonesia sourcing
- Operating cash flow, capital expenditures, and repurchase pace
- Online-sales growth and channel mix

Methodology and source register

The model combines three valuation scenarios, a five-year DCF, operating-margin sensitivity, an eight-factor operational-risk score, and a seeded Monte Carlo simulation. Monte Carlo trials vary revenue growth, operating margin, taxes, share count, valuation multiple, and discrete tariff, consumer, and brand events. Pinned inputs make the result reproducible; optional live mode refreshes only the market price and safely falls back to pinned data.

Source	Purpose	As of
Gap Q1 FY2026 results	Quarterly results brand comps margin and guidance	2026-05-28
Gap FY2025 results	Annual revenue margin cash flow and capital returns	2026-03-05
Gap FY2025 Form 10-K	Risk factors sourcing debt leases and audited financial statements	2026-03-05
Gap Q1 FY2026 Form 10-Q	Latest balance sheet debt and quarterly disclosures	2026-05-28
Gap stock information	Reference price and 52-week trading range	2026-07-30
White House Section 122 proclamation	Trade-policy context	2026-02-20
USTR presidential tariff actions	Current tariff-policy monitoring	2026-07-30

Limitations: The model does not forecast daily trading prices, does not capture every tax or accounting adjustment, and does not constitute investment advice. Scenario probabilities and shock distributions are transparent analyst assumptions and should be updated after each earnings release or material trade-policy change.

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